

File No.: EXP202300561

RESOLUTION OF TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure initiated by the Spanish Agency for Data Protection and based on the following
BACKGROUND

FIRST: On February 20, 2024, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against VODAFONE ESPAÑA, S.A.U. (hereinafter, the respondent), through the Agreement that is transcribed:

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File No.: EXP202300561

AGREEMENT TO INITIATE SANCTIONING PROCEEDINGS

From the actions taken by the Spanish Agency for Data Protection and based on the following
FACTS

FIRST: Ms. A.A.A. (hereinafter, the complainant) filed a complaint with the Spanish Agency for Data Protection on November 22, 2022. The complaint is directed against VODAFONE ESPAÑA, S.A.U. with NIF A80907397 (hereinafter, VODAFONE). The reasons on which the complaint is based are as follows:

The complainant states that “the mobile line bill, issued by Lowi, corresponding to the month of October, has been the first charged by Vodafone and not by Lowi, as was usual. The charge made to the bank contains my contract number, the invoice number matches that issued by Lowi, but the holder of the receipt is another person who is not me (...)”.

Along with the notification, a bill dated November 4, 2022, in her name with the telecommunications operator in question, as well as the bank receipt dated November 16, 2022, in the name of the third party, is provided.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), the complaint was forwarded to VODAFONE, so that it could analyze it and inform this Agency within one month of the actions taken to comply with the requirements established in the data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was received on January 23, 2023, as noted in the acknowledgment of receipt in the file.

However, no response to this forwarding has been received by this Agency.

THIRD: On February 22, 2023, in accordance with Article 65 of the LOPDGDD, the complaint filed by the complainant was admitted for processing.

FOURTH: The General Subdirectorate for Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts in question, by virtue of the functions assigned to control authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions of Title VII, Chapter I, Section Two, of the LOPDGDD, being aware of the following points:

A request was made on April 18, 2023, and a letter dated May 3 was received by this Agency from the respondent stating that:

After conducting the appropriate investigations, it is confirmed that the complainant's data was erroneously linked due to a specific incident in those systems. The corresponding incident has now been resolved, the data cross-reference has been rectified, and the complainant's ID has been unlinked from the postal address of her previous residence.

In particular, Vodafone has verified the deletion of the erroneously linked postal address to the complainant's ID in its internal systems.

The complaint originated because, upon receiving the invoice for the complainant's mobile line service, she was able to verify that it contained the identifying data of a third party unrelated to the complainant.

Consequently, she states that she contacted Vodafone's customer service, where she was informed of the existence of two postal addresses linked to her customer ID, among which was the postal address of ***ADDRESS.1 Madrid, where the complainant resided in the past.

It has been confirmed that the complainant had contracted different services with Vodafone, having been a customer of this entity until 2015. In that service contracting, she provided the postal address corresponding to Calle ***ADDRESS.1 Madrid. Subsequently, she contracted certain services with VODAFONE ENABLER ESPAÑA, S.L (LOWI) on September 11, 2021, providing the postal address corresponding to ***ADDRESS.2, Madrid.

In parallel, in October 2022, a merger occurred between the entities VODAFONE ENABLER ESPAÑA, S.L. (LOWI) and VODAFONE ESPAÑA, S.A.U. In

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As a consequence, Vodafone made the necessary adjustments in its internal systems to adapt to this corporate restructuring and to take over the provision of services previously provided by VODAFONE ENABLER ESPAÑA, S.L. Given that the claimant was a customer of both companies and that their data was still retained in Vodafone's internal systems, a specific incident occurred that involved the linking of the postal address corresponding to the claimant's previous residence, provided by the claimant at that time, and the services contracted by a third party, unrelated to the claimant, for that same postal address. Consequently, once the error was clarified, Vodafone proceeded to rectify the data crossover that occurred and unlink the claimant's ID from the postal address related to their previous residence, verifying the accuracy of the data currently held in Vodafone's systems.

Furthermore, it has been confirmed that there was no debt in the name of the claimant and that their personal data was not included in any negative financial solvency file. Additionally, a communication has been sent to the claimant, attached as Document number 1, informing them of the actions taken and apologizing for the inconvenience caused.

FIFTH: According to the report obtained from the AXESOR tool, the entity VODAFONE ONO, S.A.U. is a large company established in 2000, with a turnover of €1,217,584,000 in 2022.

LEGAL GROUNDS

I

Jurisdiction

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Data Protection Agency is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Data Protection Agency shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Article 5.1.d) of the GDPR

Article 5.1.d) "Principles relating to processing" of the GDPR establishes:

"1. Personal data shall be:

(...)

d) accurate and, where necessary, kept up to date; every reasonable step must be taken to ensure that personal data that are inaccurate are erased or rectified without delay ('accuracy');

This is the principle of "accuracy," which obliges data controllers to ensure that the personal data processed is accurate, updating it where applicable, and to have reasonable measures in place to ensure that inaccurate data is erased or modified without delay when it is inaccurate with respect to the purposes for which it is processed.

In this case, the complaint originated due to the issuance of a bank charge by VODAFONE, related to the mobile line service of the claimant, corresponding to October 2022, which included the name and surname of a third party.

It is noteworthy that VODAFONE, during the course of the investigation, has confirmed the events that occurred, stating that "...After conducting the appropriate investigations, it is confirmed that it is recorded in Vodafone's systems that the claimant's data was erroneously linked due to a specific incident in those systems. The corresponding incident has now been resolved, the data crossover that occurred has been rectified, and the claimant's ID has been unlinked from the postal address of their previous residence..."

It also states that VODAFONE ENABLER ESPAÑA, S.L (LOWI) and VODAFONE merged in October 2022 and that the current billing entity is VODAFONE, indicating that VODAFONE "... made the necessary adjustments in its internal systems to adapt to this corporate restructuring and to take over the provision of services previously provided by VODAFONE ENABLER ESPAÑA, S.L. Given that the claimant was a customer of both companies and that their data was still retained in Vodafone's internal systems, a specific incident occurred that involved the linking of the postal address corresponding to the claimant's previous residence, provided by the claimant at that time, and the services contracted by a third party, unrelated to the claimant, for that same postal address..."

While claiming that "...the claimant's data was erroneously linked due to a specific incident..."; in no case does this undermine the reality of the events that occurred nor does it exempt VODAFONE from its responsibility as the data controller of its customers' personal data.

VODAFONE, as the data controller, is obliged to have reasonable measures in place to ensure that the data is accurate at all times.

In accordance with the evidence available in this initiation agreement of the sanctioning procedure, and without prejudice to what results from the instruction, it is considered that the known facts could constitute an infringement attributable to VODAFONE for violation of Article 5.1.d) of the GDPR.

IV

Classification of the infringement of Article 5.1.d) of the GDPR

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If confirmed, the aforementioned infringement of Article 5.1(d) of the GDPR could constitute the commission of the infringements classified in Article 83.5 of the GDPR, which under the heading "General conditions for the imposition of administrative fines" provides:

"Violations of the following provisions shall be sanctioned, in accordance with paragraph 2, with administrative fines of up to 20,000,000 EUR or, in the case of an undertaking, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount:

a) the basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9; (...)"

In this regard, the LOPDGDD, in its Article 71 "Infringements" establishes that:

"Acts and behaviors referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679, as well as those that are contrary to this organic law, constitute infringements."

For the purposes of the statute of limitations, Article 72 "Very serious infringements" of the LOPDGDD indicates:

"1. In accordance with what is established in Article 83.5 of Regulation (EU) 2016/679, the following infringements are considered very serious and shall be subject to a three-year statute of limitations, which involve a substantial violation of the articles mentioned therein and, in particular, the following:

a) The processing of personal data in violation of the principles and guarantees established in Article 5 of Regulation (EU) 2016/679. (...)"

V

Sanction for the infringement of Article 5.1(d) of the GDPR

For the purpose of deciding on the imposition of an administrative fine and its amount, in accordance with the evidence available at this moment of the initiation of the sanctioning procedure, and without prejudice to what may result from the instruction, it is appropriate to grade the sanction to be imposed according to the following criteria established in Article 83.2 of the GDPR.

As an aggravating factor:

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b) the intentionality or negligence in the infringement;

In this same sense, the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, particular attention must be paid to the professionalism or lack thereof of the subject, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it must be insisted upon the rigor and exquisite care to comply with the legal provisions in this regard. [Judgment of the National Court of 17/10/2007 (rec. 63/2006)]

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e) any previous infringement committed by the data controller or processor.

Recital 148 of the GDPR states, "In order to reinforce the application of the rules of this Regulation [...]" and indicates in this regard that "Special attention must, however, be paid to the nature, gravity, and duration of the infringement, to its intentional character [...] or to any relevant previous infringement [...]".

Thus, in accordance with paragraph e) of Article 83.2 of the GDPR, in determining the amount of the administrative fine, all previous infringements of the data controller or processor must be evaluated in order to assess the unlawfulness of the analyzed conduct or the culpability of the infringing subject. Furthermore, a correct interpretation of the provision of Article 83.2(e) of the GDPR cannot overlook the purpose pursued by the norm: to decide the amount of the administrative fine in the individual case presented, always ensuring that the sanction is proportional, effective, and dissuasive.

The AEPD has processed the following cases PS/00415/2020, PS/00139/2020, and PS/00307/2019 against VODAFONE, sanctioning it in these proceedings for the aforementioned infringement of Article 5.1(d) of the GDPR, classified in Article 83.5 of the GDPR.

In case PS/00415/2020, VODAFONE was sanctioned for an infringement of Article 5.1(d) of the GDPR, classified in Article 83.5 of the GDPR; as the products contracted with the complainant were registered in the name of a third party, who had his personal data since May 2019.

In case PS/00139/2020, VODAFONE was sanctioned for an infringement of Article 5.1(d) of the GDPR classified in Article 83.5 of the GDPR; as it was found that another holder was listed as the owner of the contracted services in the complainant's systems.

In case PS/00307/2019, VODAFONE was sanctioned for an infringement of Article 5.1(d) of the GDPR classified in Article 83.5 of the GDPR, for the operator claiming a debt for a service that had been canceled and had no outstanding balances.

It is also considered appropriate to grade the sanction to be imposed according to the following criteria established in paragraph 2 of Article 76 "Sanctions and corrective measures" of the LOPDGDD:

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b) The link of the infringer's activity with the processing of personal data.

VODAFONE is engaged in the operation of networks and the development of activities and services through electronic communications, telecommunications, information society services, multimedia, or value-added services, as well as marketing.

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Implementation and deployment of electronic and computer systems and equipment, a professional activity subject to the duty of confidentiality regarding the personal data of its clients, which entails continuous data processing.

In the contracting of the services provided, numerous personal information related to its clients is collected.

The balance of the circumstances contemplated in Article 83.2 of the GDPR and Article 76.2 of the LOPDGDD, concerning the infringement committed by violating the provisions established in Article 5.1 d) of the GDPR, initially allows for the imposition of a sanction of €140,000 (ONE HUNDRED FORTY THOUSAND EUROS).

VI

Adoption of measures

If the infringement is confirmed, it may be agreed to impose on the responsible party the adoption of appropriate measures to adjust its actions to the regulations mentioned in this act, in accordance with the provisions of the aforementioned Article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified period...". The imposition of this measure is compatible with the sanction consisting of an administrative fine, as provided for in Article 83.2 of the GDPR.

It is noted that failure to comply with a possible order to adopt measures imposed by this body in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in its Articles 83.5 and 83.6, which may motivate such conduct to initiate an additional sanctioning administrative procedure.

Therefore, in light of the above, by the Director of the Spanish Agency for Data Protection,
IT IS AGREED:

FIRST: TO INITIATE SANCTIONING PROCEDURE against VODAFONE ESPAÑA, S.A.U., with NIF A80907397, for the alleged infringement of Article 5.1 d) of the GDPR, classified in Article 83.5 of the GDPR.

SECOND: TO APPOINT B.B.B. as instructor and C.C.C. as secretary, indicating that they may be challenged, if applicable, in accordance with the provisions of Articles 23 and 24 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector (LRJSP).

THIRD: TO INCORPORATE into the sanctioning file, for evidentiary purposes, the complaint filed by the claimant and its documentation, as well as the documents obtained and generated by the General Subdirectorate for Data Inspection in the proceedings prior to the initiation of this sanctioning procedure.

FOURTH: THAT for the purposes provided in Article 64.2 b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the

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The sanction that may correspond would be, for the alleged infringement of Article 5.1 d) of the GDPR, classified in Article 83.5 of said regulation, an administrative fine of 140,000.00 euros, without prejudice to what results from the instruction.

FIFTH: NOTIFY this agreement to VODAFONE ESPAÑA, S.A.U., with NIF A80907397, granting a hearing period of ten working days for it to formulate allegations and present the evidence it considers appropriate. In its written allegations, it must provide its NIF and the file number that appears in the heading of this document.

If no allegations are made against this initiation agreement within the stipulated period, it may be considered a proposal for resolution, as established in Article 64.2.f) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP).

In accordance with the provisions of Article 85 of the LPACAP, it may acknowledge its responsibility within the period granted for formulating allegations to this initiation agreement; this will entail a reduction of 20% of the sanction that may be imposed in this procedure. With the application of this reduction, the sanction would be set at 112,000.00 euros, resolving the procedure with the imposition

of this sanction.

Similarly, it may, at any time prior to the resolution of this procedure, voluntarily pay the proposed sanction, which will imply a reduction of 20% of its amount. With the application of this reduction, the sanction would be set at 112,000.00 euros, and its payment will imply the termination of the procedure, without prejudice to the imposition of the corresponding measures.

The reduction for the voluntary payment of the sanction is cumulative with the one corresponding to the acknowledgment of responsibility, provided that this acknowledgment of responsibility is made within the period granted to formulate allegations to the opening of the procedure. The voluntary payment of the amount referred to in the previous paragraph may be made at any time prior to the resolution. In this case, if both reductions are applicable, the amount of the sanction would be set at 84,000.00 euros.

In any case, the effectiveness of either of the two mentioned reductions will be conditioned upon the withdrawal or waiver of any action or administrative appeal against the sanction.

In the event that it opts to proceed with the voluntary payment of any of the amounts indicated above (112,000.00 euros or 84,000.00 euros), it must do so by depositing it into account no. IBAN: ES00 0000 0000 0000 0000 (BIC/SWIFT Code: CAIXESBBXXX) opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason for the reduction of the amount to which it adheres.

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Likewise, it must send the proof of payment to the General Subdirectorate of Inspection to continue with the procedure in accordance with the amount deposited.

The procedure will have a maximum duration of twelve months from the date of the initiation agreement. If this period elapses without a resolution being issued and notified, it will become void, and consequently, the proceedings will be archived; in accordance with the provisions of Article 64 of the LOPDGDD.

Finally, it is noted that according to the provisions of Article 112.1 of the LPACAP, there is no administrative appeal against this act.

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Mar España Martí

Director of the Spanish Agency for Data Protection

SECOND: On March 14, 2024, the respondent has proceeded to pay the sanction in the amount of 112,000 euros, making use of one of the two reductions provided for in the previously transcribed Initiation Agreement. Therefore, the acknowledgment of responsibility has not been substantiated.

THIRD: The payment made entails the waiver of any action or administrative appeal against the sanction, in relation to the facts referred to in the Initiation Agreement.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), to each supervisory authority and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection will be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development and, as long as they do not contradict them, subsidiarily by the general rules on administrative procedures."

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Termination of the Procedure

Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), under the heading "Termination in Sanctioning Procedures" provides as follows:

"1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

2. When the sanction is solely of a pecuniary nature or when a pecuniary sanction can be imposed alongside a non-pecuniary sanction but the latter has been justified as inappropriate, voluntary payment by the alleged responsible party, at any time prior to the resolution, will imply the termination of the procedure, except regarding the restoration of the altered situation or the determination of compensation for the damages caused by the commission of the infringement.

3. In both cases, when the sanction is solely of a pecuniary nature, the competent authority to resolve the procedure will apply reductions of at least 20% on the amount of the proposed sanction, which may be cumulative. The aforementioned reductions must be specified in the notification of the initiation of the procedure, and their effectiveness will be conditioned upon the withdrawal or renunciation of any action or administrative appeal against the sanction. The percentage of reduction provided in this section may be increased by regulation."

In accordance with the above,

the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO DECLARE the termination of procedure EXP202300561, in accordance with the provisions of Article 85 of the LPACAP.

SECOND: TO NOTIFY this resolution to VODAFONE ESPAÑA, S.A.U.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within a period of two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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